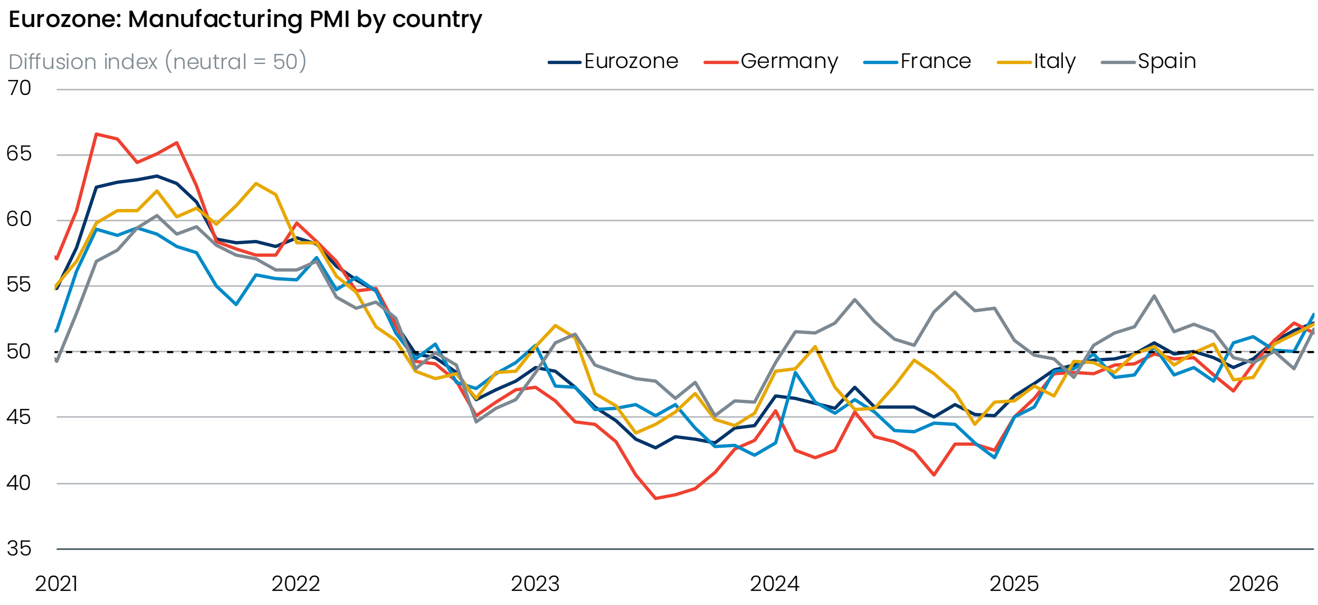
Surveys fuel ECB’s hawkish stance

- **April's final manufacturing PMI confirmed the uptick from the preliminary release, though the headline was mechanically inflated by supply disruptions and inventory building amid the Middle East war. The underlying outlook remains weak, with inflationary pressures accumulating rapidly.**
- **The ECB's survey of professional forecasters showed a marked rise in inflation expectations over both the short and medium run, as sizeable second-round effects are anticipated. GDP forecasts were also trimmed, but we still consider the outlook depicted too benign.**
- **Today’s surveys point to a Eurozone economy moving rapidly toward stagflation, with rising inflationary pressures reinforcing the ECB’s hawkish stance.**

The final release of Eurozone manufacturing PMIs broadly confirmed the acceleration seen in the flash reading, with the index at 52.2 (Chart 1). But the headline figure is mechanically inflated by statistical artefacts, as longer delivery times are treated as growth-positive in the PMI methodology. Manufacturing output also accelerated, but likely reflects inventory building as firms tried to secure goods amid product shortages and other supply disruptions caused by the war in the Middle East. Meanwhile, inflationary pressures are building rapidly. Nonetheless, the manufacturing surveys show some resilience, which may be in part due to the growing impact from the region’s defence buildup. Germany preliminary reading was notched up 0.2pts to 51.4, while France preliminary reading was confirmed. In Spain, manufacturing PMI rose to 51.7, its highest in a year, while Italy’s 52.1 print was the strongest since 2022. The backdrop is broadly the same: supply-side shocks are weighing on the growth outlook and fuelling inflationary pressures. However, relatively healthier domestic demand in Germany and Spain has allowed firms to pass price increases on to clients, whereas French and Italian firms have had to absorb the hit through squeezed margins. That said, the evidence is still too weak to draw firm conclusions.

Chart 1: Manufacturing PMI showed a broad-based acceleration in April



Sources: Oxford Economics, S&P Global

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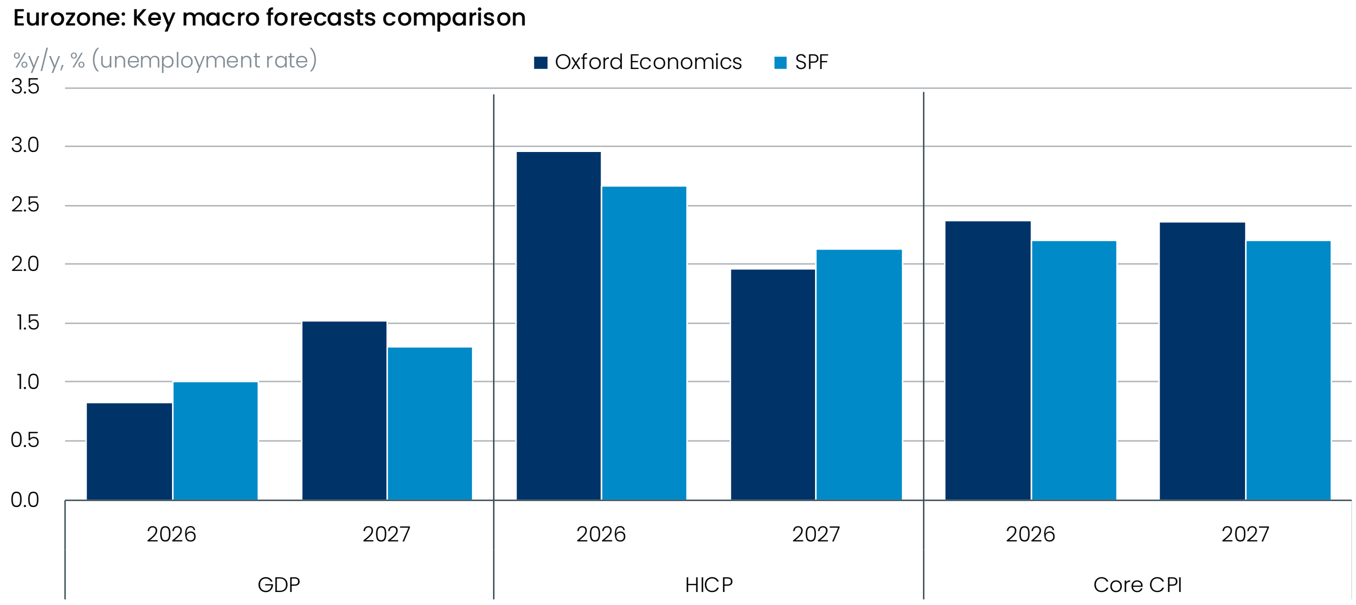
The Q2 ECB survey of professional forecasters also landed this week. The biggest shift was on inflation, with 2026 Eurozone inflation now seen at 2.7%. Crucially, forecasters expect significant second-round effects, with core inflation seen slightly above target through 2028, although to a lesser degree than we anticipate. This reinforces our finding that economic agents have become more reactive to inflation since 2022, likely owing to the nature of recent supply-side shocks. GDP expectations edged down, with 2026 growth seen at 1%, still well above our forecast. The direction of travel aligns with our view, but we consider the consensus outlook too benign (Chart 2).

Chart 2: We expect higher inflation and lower GDP growth than consensus



Sources: Oxford Economics, Haver Analytics

Overall, today's data confirm the Eurozone is moving swiftly toward a stagflationary backdrop. The economy kicked off the year with a decent Q1 GDP print, albeit slower than the previous quarter, while inflationary pressures and expectations are accelerating. We maintain our call for two 25bps rate hikes from the ECB this year, in June and July.